

and Scottish trusts moved over here, and the net return to all those investors was probably zero.)

Going downstream—investing in the businesses that will benefit from new technology rather than in the technology companies themselves—is often the smarter strategy.

Those who really made money out of the new technology were not the transportation people but those who bought real estate in Chicago in the 1880s and 1890s. As the railroad came in and created a city of 3 million people, land values skyrocketed. The railroads that were most successful were those that secured land grants from the government to build the tracks and thus owned some enormously valuable real estate. So the manufacturer who built the steam locomotive made \$5, the tycoon who built the railroad made \$50, and the land speculator who bought land that later became downtown Wichita made \$500.

Similarly, when jet planes—larger and faster than the props—came on the scene, they changed the airline business, but it wasn't the jet-engine makers General Electric, Pratt and Whitney, and Rolls-Royce that benefited most. In that instance it was the airlines that reaped the profits for a while; I know, because—as I mentioned earlier—I did well in airline stocks back then, when the big carriers could actually make money. Now the airline industry is barely breaking even, and airline stocks are only speculations. But think of what the jet plane made possible!

Also in the postwar era, air-conditioning changed the way we all live, but you didn't make much money investing in Carrier and the other makers. But downstream, you could have made a fortune, for air conditioners created the New South. In 1930 the population of